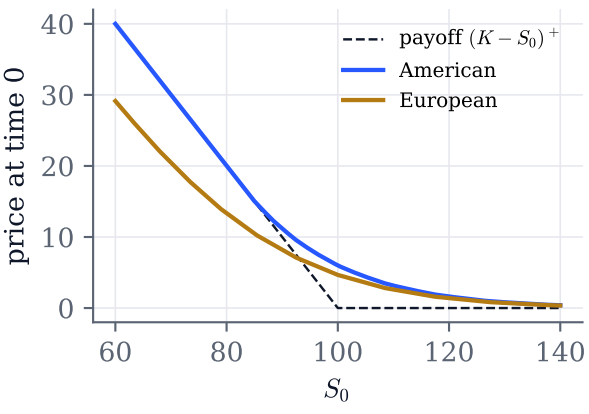
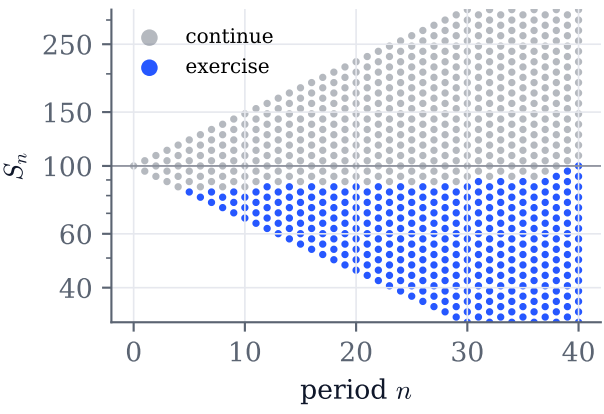

$N = 40$ periods, $K = 100$
payoff $(K - S_0)^+$
American
European
price at time 0
S_0
0
10
20
30
40
60
80
100
120
140


nodes of the tree, $S_0 = K$
continue
exercise
S_n
period n
40
60
100
150
250
0
10
20
30
40